GLOBAL CITY MAKING IN CAIRO: THE ROOTS AND ROUTES OF A NEW URBAN POLITICS

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ABSTRACT

In the highly publicized Arab Spring revolutions Cairo, Egypt has become the center of recent world news. These revolutions are deeply rooted in a history of inequalities produced by the actions of international finance organizations (IFOs). Through the historical analysis of past scholarship on the impact of these organizations, we can begin to answer the question of why there is so much urban protest within the city. Since the 1970's, IFOs have implemented their economic policies on Egypt which were based on western ideologies reducing the importance of the culture of Egypt. The government and Cairene elite have constantly supported this system, often bringing them wealth at the expense of the poor. These policies have constantly failed the people of the country and led to a greater division between rich and poor. Through understanding the history of these policies, it becomes clear that foreign aid and global city making techniques are harmful to the majority of people within the city. In the future, aid must better consider the needs of the people and the culture of the country to be successful.

RESEARCH QUESTIONS AND HYPOTHESIS

Beginning in January of 2011, a wave of protests and demonstrations swept through the city of Cairo, Egypt. Facing issues of high unemployment, government corruption and inflated food prices, the people began to rise up. These protests grew into an outright revolution in which President Hosni Mubarak was overthrown along with the rest of the government.

Why has there been so much urban protest within the city of Cairo and what are its historical roots?

How have global city making measures of international finance organizations affected the urban form within the city of Cairo?

Hypothesis: The revolution that occurred in Cairo can be directly attributed to policies that were instituted in the 1970's that set the framework for many of the inequalities that are occurring there today. These same policies have changed the city form within urban and suburban Cairo.

METHODOLOGY

The research was done exclusively through document analysis:

- First, historical analysis of past scholarship on projects in the city of Cairo was conducted
- Second, current World Bank, International Monetary Fund (IMF), and Wall Street investments and policies were tracked
- Last, news journals and articles were evaluated to gain an understanding of what is currently occurring within the city

FOOD FOR PEACE

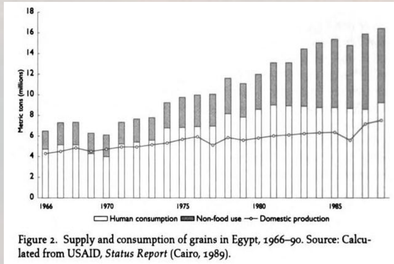


Figure 2. Supply and consumption of grains in Egypt, 1966–90. Source: Calculated from USAID, *Status Report* (Cairo, 1989).

During the period of 1966-1990 Egypt was able to support the human consumption of grain through domestic production. The USAID program taxed the production of grains and subsidized the production of meats causing a shift in the type of foods eaten. This required the importation of American grain to support meat production causing Egypt 51.5 billion dollars in debt.



THE OBJECT OF DEVELOPMENT

Egypt gained its independence from Great Britain in 1922. From the 1930's to the 1960's the government placed an emphasis on the social welfare of the whole population. In 1972 a policy of "Infitah" or openness was instituted that opened up Egypt for investment from IFOs and multinational corporations.

When lending money, IFOs such as the World Bank, International Monetary Fund and the United States Agency for International Development (USAID), often institute policies of structural adjustment emphasizing free market principals most notably, through privatization, the removal of trade barriers and reduced social welfare spending.

These policies are often detrimental to the working poor in Cairo, raising costs of public goods such as health care and education to the point where the working poor can no longer afford them.

IFOs justify such policies by turning Egypt into an object that needs to be developed. This outlook ignores Egypt's rich history and the things that make cities such as Cairo unique; its culture.

An often perpetuated view of Cairo is that the city is overpopulated and starving. Experts point out that it had population growth of 77% from 1966-88, but ignore the fact that its grain production doubled during that same period. Cairo had all the tools it needed to alleviate hunger and poverty, but it was mismanaged.

Through the objectification of Cairo, foreign investments have typically been implemented based on western ideologies of wealth creation and not what is best for Cairo.

A clear example of this was an USAID loan of 15 billion dollars in the 1980's. They attempted to implement a program modeled after successful programs in East Asia. Despite the large investment, the program was unsuccessful. Of the 15 billion dollars invested, over half was spent directly within the US.

This program called for the importation of staple crops such as wheat to feed the population while mechanizing Egyptian farm land and increasing the export of vegetables and cut flowers. This program directly contributed to the under nutrition of many Egyptians.

MARKETS OF DISPOSSESSION

Cairo has a thriving economy which is often classified as "informal" because it operates outside of the realm of the government.

These markets are often demonized by the government and the IFOs. The people who live within the realms of informal Cairo are often categorized as being at risk to joining radical Islamic movements, deviant, lazy, and unproductive. In contrast, informal Cairo produced goods for its community at a cheap price while providing jobs that were otherwise nonexistent.

In the 1990's the World Bank set out to reform these markets in Cairo. They attempted this first by moving these markets out of the city into suburban Cairo. Next they provided loans to graduates and attempted to replace the informal craftsman shops with formal microenterprises.

The microenterprise system was set up to supposedly empower the youth of the country. The World Bank provided loans and educated new owners on free market principles.

These microenterprises failed miserably. The World Bank did not understand the social complexity that it took to function within Cairo. The loans that they provided often were misused and the wealthy took advantage of the system to evade taxes.

Not only did the program fail, it also handicapped the once thriving craftsmen's shops. The microenterprises began to replace the craftsmen. Therefore a successful system was replaced by a failing one.

The land that the government took within the cities was used for megaprojects such as large malls. Less than 20% of Egyptian citizens could afford to shop at these malls so many of them had a brief lifespan of 18-24 months.

DISCUSSION AND IMPLICATIONS

In the past we have seen clear examples of IFOs implementing policy that has been overwhelmingly harmful to the masses in Egypt. These policies have often taken a system which had the capabilities to work and replaced it with something that was beneficial only to the most wealthy portion of society.

Placing a focus on globalizing a city and its economy has an adverse effect on the non elite people of a country. This developmental practice ignores the richness and tradition of local economies. The practice of allowing IFOs to dictate how a country runs its economy needs to be seriously questioned. The people need to be given more of a voice.

In June 2011, Egypt declined a 3 billion dollar loan from the IMF recognizing the consequences that might arise in accepting it. This action has set a new precedent in putting the power back in the people's hands. In the future Egypt may become a lesson to other third world countries on how to reform an economy without the aid from IFOs.

In the spring of 2013, I plan to study abroad in Cairo. This will give me a chance to directly research the spatial and economic consequences of trying to transform Cairo to a global city in a way that is impossible to do within a classroom.